Month 4

Interest Rate effects on currency trades :-

→ Smart Money Accumulation & Distribution :-

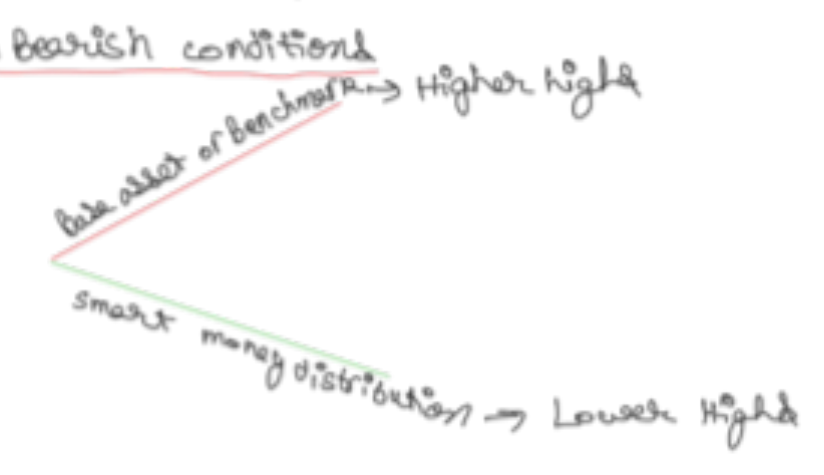
(i) Interest rate are the single most influential driving force behind market moves.
(ii) understanding interest Rate shift & changes can assist you in selecting trades.
(iii) Technical analysis of key interest rates can unlock money movement.
(iv) Interest triads provide a visual depiction of smart money Accumulation & Distribution.

→ Interest rate Triads :-

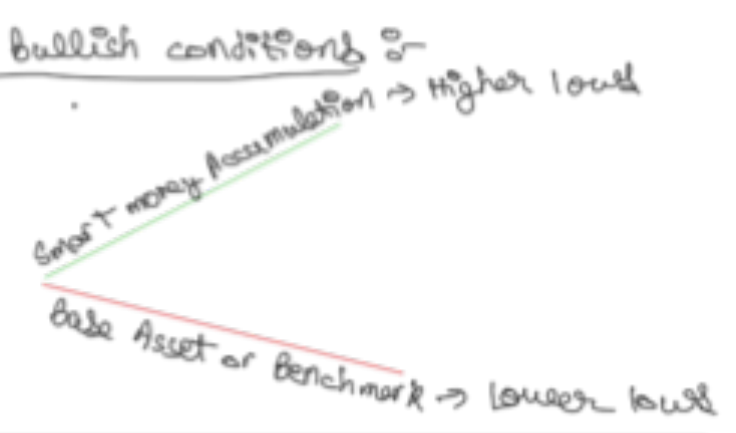
(i) 30 Year Bond - Key long term Interest Rate
(ii) 10 Year Note - Intermediate term Interest Rate
(iii) 5 Year Note - Short term interest Rate
(iv) overlaying or comparative Analysis on these three interest rates unlocks price action.
(v) Failure swings at opportunistic times can validate Institutional orderflow.

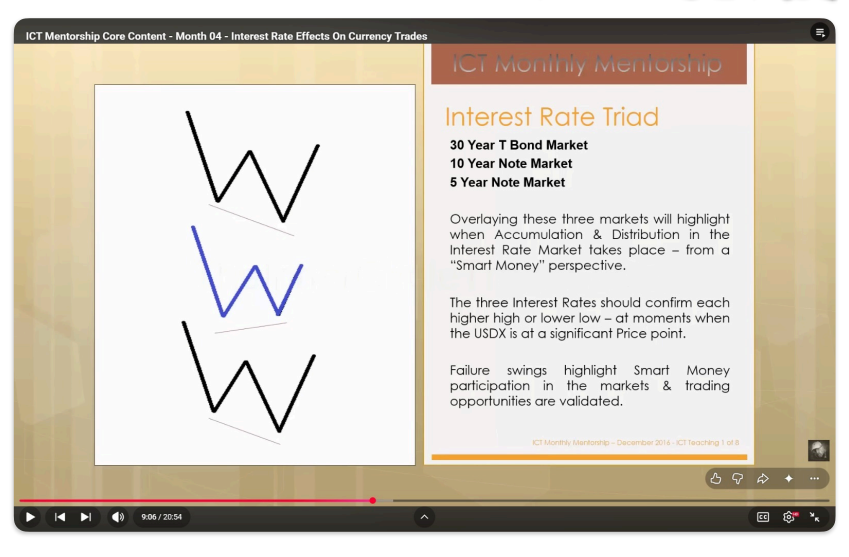
→ What Smart Money Looks like in Price :-

In Bearish conditions


Base asset or Benchmark → Higher highs
Smart money distribution → Lower Highs

In Bullish conditions :-


Smart money Accumulation → Higher lows
Base Asset or Benchmark → lower lows



ICT Mentorship Core Content - Month 04 - Interest Rate Effects On Currency Trades

ICT Monthly Mentorship

Interest Rate Triad

30 Year T Bond Market
10 Year Note Market
5 Year Note Market

Overlaying these three markets will highlight when Accumulation & Distribution in the Interest Rate Market takes place – from a "Smart Money" perspective.

The three Interest Rates should confirm each higher high or lower low – at moments when the USDX is at a significant Price point.

Failure swings highlight Smart Money participation in the markets & trading opportunities are validated.

→ ICT Action Plan

use the points of focus taught in the first month of Mentorship.

when a price action trade to a focus point like a

- orderblock
- Liquidity Pool
- Liquidity void or Fair value gap

Refer to Interest Rate Triad & USDX to confirm smart is behind your trade idea. If there is no obvious indication they are moving large funds - pass on the trade idea & look for new ones that do.

Reinforcing Liquidity concepts & Price Delivery :-

→ External Range Liquidity

(i) The current trading range will have buy side Liquidity above the range or high.
(ii) The current trading range will have sell side Liquidity below the range or low.
(iii) Runs on Liquidity - seek to pair orders with the pending order Liquidity - Liquidity Pools.
(iv) External range liquidity Runs can be low resistance or high resistance in nature.

→ Internal range Liquidity :-

(i) when current trading range is likely to remain - Liquidity voids will fill in - Crap risk.
(ii) when current trading range is likely to remain - Fair value gaps will fill in - Crap risk.
(iii) orderblocks inside the trading range will be populated with new buy & sell orders.
(iv) Market Maker buy & sell models will form inside trading ranges.

Predominantly, my entries are internal range Liquidity & exits at external range Liquidity.
↳ Note

Higher time frame Internal Liquidity → Lower Timeframe External Liquidity.

ICT Mentorship Core Content - Month 04 - Reinforcing Liquidity Concepts & Price Delivery

↳ Every high has very little difficulty because its framed on low resistance Liquidity runs based on higher time frame Monthly.

→ If we don't see any ranges that created new buying opportunities, we can target lows.

ICT Mentorship Core Content - Month 04 - Reinforcing Liquidity Concepts & Price Delivery

→ You don't have to find the setup every single day, but you will find a setup once a week.

→ one setup per week.

This month is about framing the right swing & what orderblock to use.

Reinforcing orderblock Theory [Selection & Avoiding] :-

→ Bullish orderblock :- The lowest candle or price bar with a down close that has the most range between open to close & is near to support level.

Validation :- when the high of the Lowest down close candle or price bar is traded through by a later formed candle or price bar.

Entry techniques :- when the Price trades higher away from the bullish orderblock and then return to the bullish orderblock candle or price bar high - This is bullish.

Defining risk :- The low of the Bullish orderblock is the location of relatively safe stop loss placement. Just below the 50% of the orderblock total range is also considered to be a good location to raise the stoploss after price runs away from bullish order block to reduce risk when applicable.

→ Ideally the best orderblocks will not see price trade down below the midway point. & Dont include wicks in this, because volume exist in the body of the candle.

Liquidity based Bias :-

Monthly chart → Bearish
Weekly chart → Bearish
Daily chart → Bearish
→ sync with Institutional orderflow

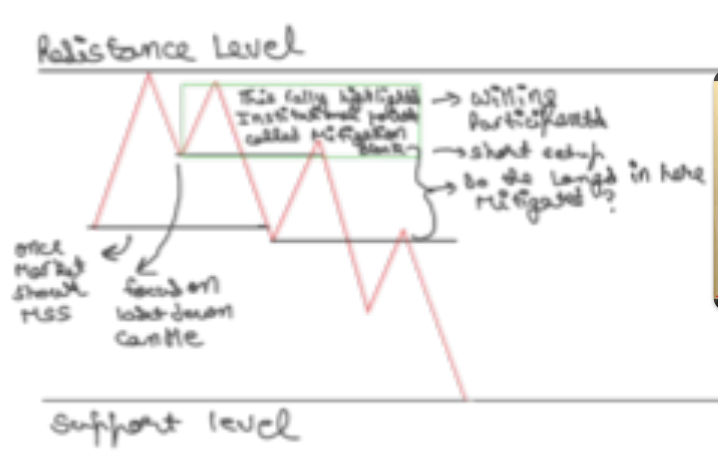
& vice versa for Bullish

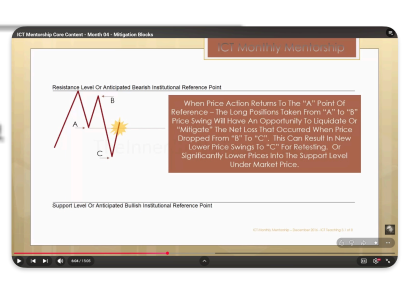
Intraday charts 4 hour or less will be correcting or retracing higher. This is where you anticipate the market to enter a premium and seek buy side Liquidity to sell to.

Protective Buy stop Raids or Returns to Bearish orderblock or fair value gaps and or filling of a Liquidity void. Each offering a potential low Resistance Liquidity run - shorting for a target under a recent low.

→ The expansion after the orderblock should be 2-3 times the orderblock.

Mitigation Block :-


Resistance Level
This fully highlighted Institutional block called Mitigation Block
→ willing participants
→ short setup
→ to be the longs in here mitigated
once market shows MSS
focus on last down candle
Support level



ICT Mentorship Core Content - Month 04 - Mitigation Blocks

ICT Monthly Mentorship

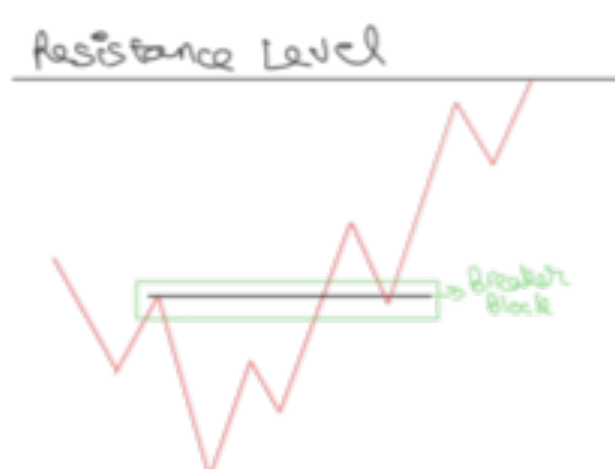
Resistance Level Or Anticipated Bearish Institutional Reference Point

When Price Action Returns To The "A" Point Of Reference – The Long Positions Taken From "A" to "B" Price Swing Will Have An Opportunity To Liquidate Or "Mitigate" The Net Loss That Occurred When Price Dropped From "B" To "C". This Can Result In New Lower Price Swings To "C" For Retesting. Or Significantly Lower Prices Into The Support Level Under Market Price.

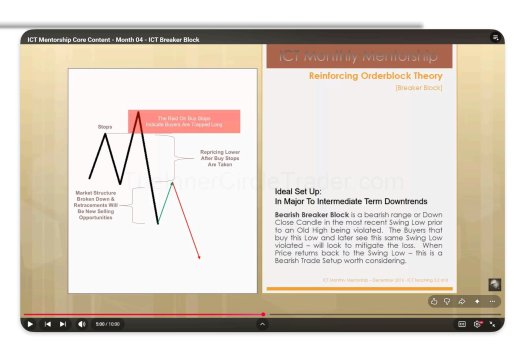
Support Level Or Anticipated Bullish Institutional Reference Point

ICT Mentorship Core Content - Month 04 - Mitigation Blocks

Breaker Block :-



& vice versa



ICT Mentorship Core Content - Month 04 - ICT Breaker Block

ICT Monthly Mentorship

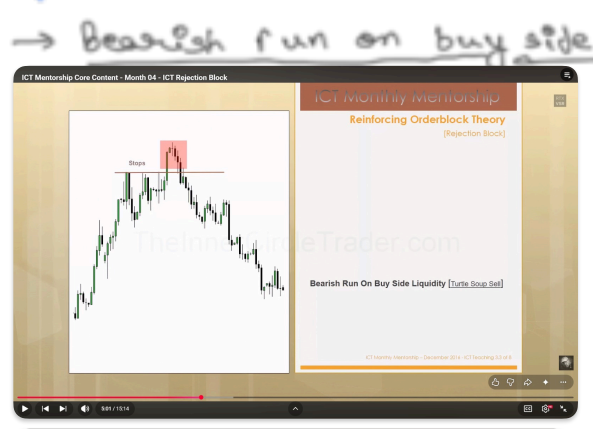
Reinforcing Orderblock Theory
[Breaker Block]

Ideal Set Up:
In Major To Intermediate Term Downtrends

Bearish Breaker Block is a bearish range or Down Close Candle in the most recent Swing Low prior to an Old High being violated. The Buyers that buy this Low and later see this same Swing Low violated – will look to mitigate the loss. When Price returns back to the Swing Low – this is a Bearish Trade Setup worth considering.

Rejection Block :-

→ Bearish run on buy side liquidity [Turtle soup sell]



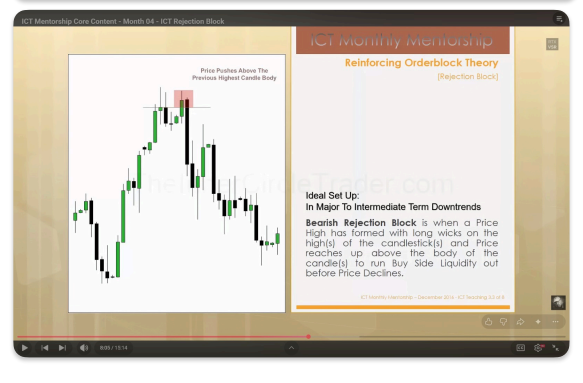
ICT Mentorship Core Content - Month 04 - ICT Rejection Block

ICT Monthly Mentorship

Reinforcing Orderblock Theory
[Rejection Block]

Bearish Run On Buy Side Liquidity [Turtle Soup Sell]

Bearish rejection block is when a price high has formed with long wicks on the high's of the candlestick and price reaches up above the body of the candle's to run Buy side liquidity out before price Declined.



ICT Mentorship Core Content - Month 04 - ICT Rejection Block

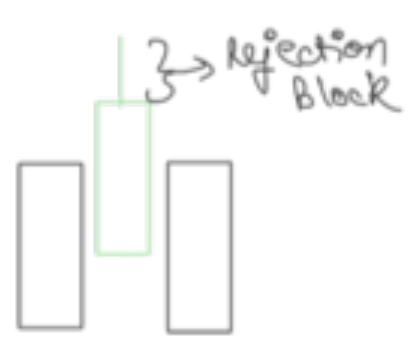
ICT Monthly Mentorship

Reinforcing Orderblock Theory
[Rejection Block]

Price Pushes Above The Previous Highest Candle Body

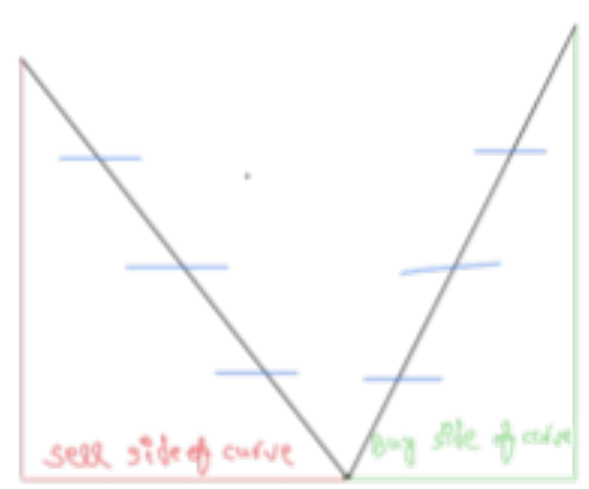
Ideal Set Up:
In Major To Intermediate Term Downtrends

Bearish Rejection Block is when a Price High has formed with long wicks on the high(s) of the candlestick(s) and Price reaches up above the body of the candle(s) to run Buy Side Liquidity out before Price Declines.



Reclaimed Block :-

→ Market Maker Buy Model



Bullish Reclaimed block is a candle or bar that was previously used to buy price and a short term bounce confirms minor displacement. In the Buy side of curve - these "old" blocks will be reclaimed blocks.

& vice versa for Bearish Reclaimed block.

ICT Mentorship Core Content - Month 04 - Reclaimed ICT Orderblock

ICT Monthly Mentorship

Propulsion Block :-

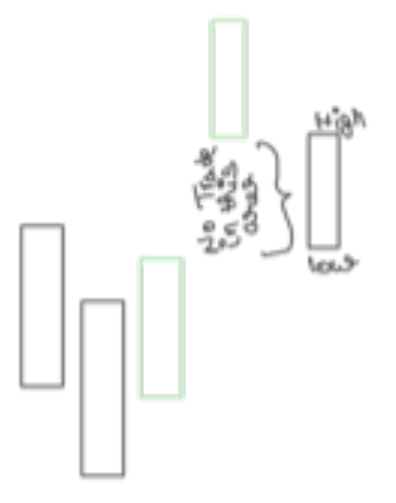
Bullish Propulsion block is a candle or bar that has previously traded down into a down candle or Bullish orderblock & takes over the role of price support for higher Price movement.

ICT Mentorship Core Content - Month 04 - ICT Propulsion Block

Vaccum Block :-

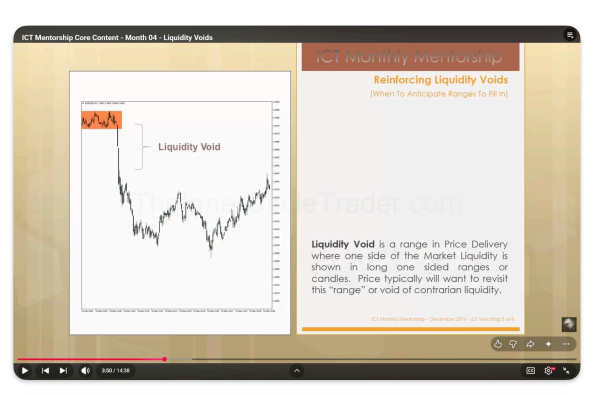
Bullish Vaccum block is a gap created in Price Action as a result of a volatility event. The gap forms by the "vaccum" of liquidity directly related to an event.

NFP [Non farm Payroll] can create a Vaccum Block or in opening session in futures can create a vaccum.



Liquidity voids [when to Anticipate Ranges to fill in] :-

Liquidity void is a range in Price Delivery where one side of the market Liquidity is shown in wide or "long" one sided ranges or candles. Price typically will want to revisit this "pourous range" or void of contrarian Liquidity.

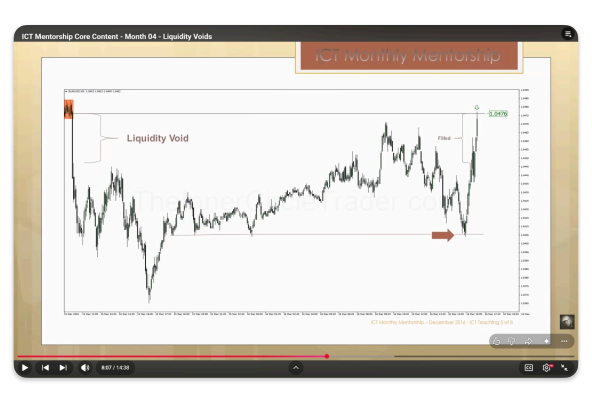


ICT Mentorship Core Content - Month 04 - Liquidity Voids

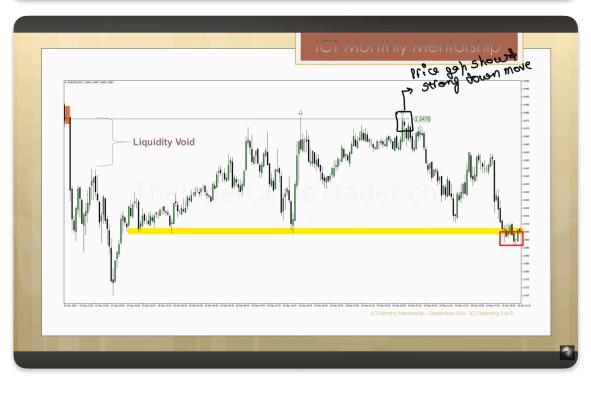
ICT Monthly Mentorship

Reinforcing Liquidity Voids
[When To Anticipate Ranges To Fill In]

Liquidity Void is a range in Price Delivery where one side of the Market Liquidity is shown in long one sided ranges or candles. Price typically will want to revisit this "range" or void of contrarian liquidity.

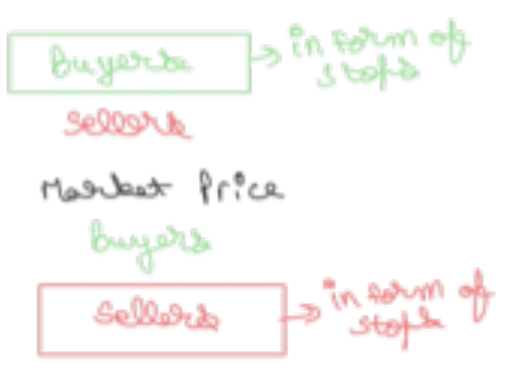


ICT Mentorship Core Content - Month 04 - Liquidity Voids



Liquidity Pools [when to anticipate Raids] :-

Liquidity is the "open interest" of buyers and sellers in the market and can be further defined by those entities at or near the specific price levels.



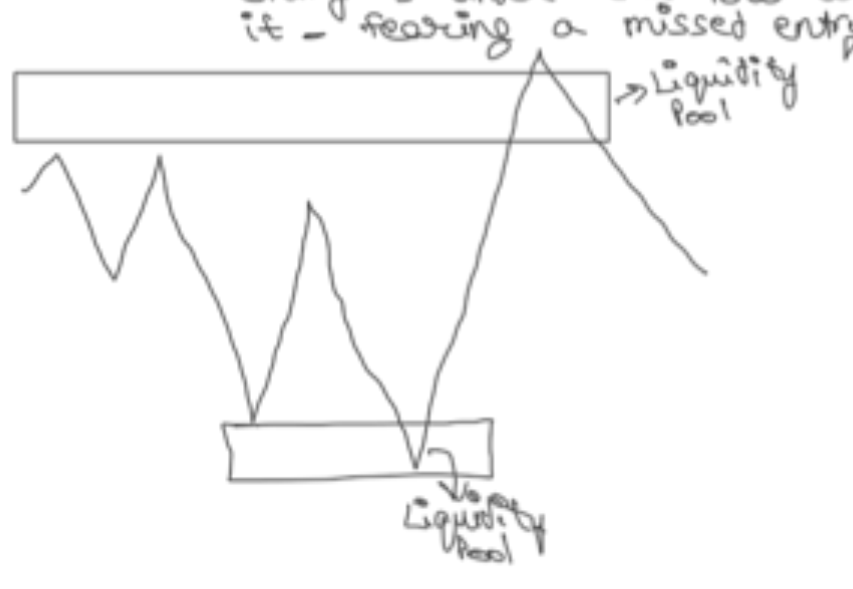
Run on Bullish Liquidity Pool :-

Definition :- The low that is under the current market price action will typically have Trailed sell stops under it on long trades. or sell stops for traders who wish to trade a Breakout lower in price for short Position.

Validation :- when the low is violated or Price moves below the recent low - the sell stops become Market orders to sell at Market. This injects sell side Liquidity into the Market - typically paired with smart money Buyers.

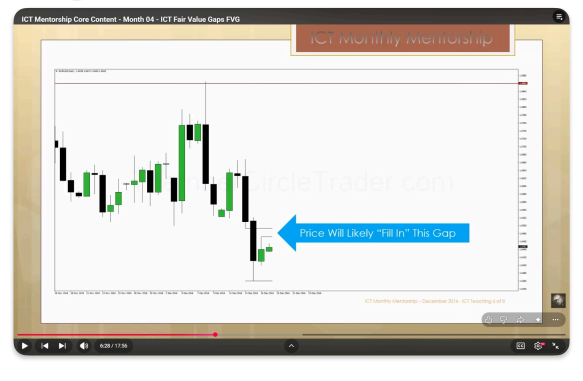
Entry techniques :- when underlying is Bullish. before price trades under the recent low - place a buy limit order just below or at recent low. You are buying the sell stops like a Bank Trader or any other "smart money" entity would.

Defining risk :- The low you're buying under - can see a swing of 10 to 20 pips in most cases. A 30 to 50 pip stop is ideal if your entry is under the low and not above it - fearing a missed entry.



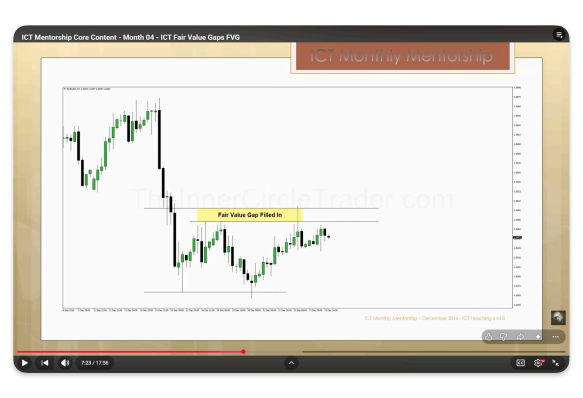
Fair Value Gaps [Trading Inside the Range] :-

Fair value gap is a range in Price delivery where the one side of the market liquidity is offered and typically confirmed with the liquidity void on the lower time frame charts in the same range of price. Price can actually "gap" to create a literal vaccum of Trading thus posting an actual price gap.



ICT Mentorship Core Content - Month 04 - ICT Fair Value Gaps FVG

Price Will Likely "Fill In" The Gap



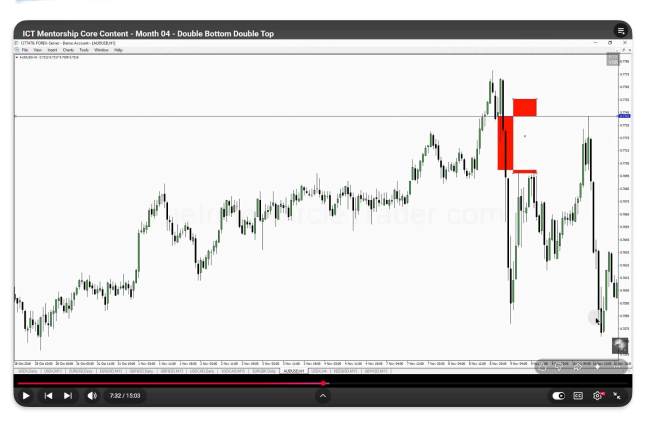
ICT Mentorship Core Content - Month 04 - ICT Fair Value Gaps FVG

Market Maker Trap : Momentum Divergence Phantoms :-

Traps based on Indicators like EMA, RSI or Stoch

ICT Mentorship Core Content - Month 04 - Divergence Phantoms

Market Maker Trap : Double Tops & Bottoms :-



ICT Mentorship Core Content - Month 04 - Double Bottom Double Top